



Maintain financial standards and records

D1.HFI.CL8.02

D1.HFA.CL7.03

Trainer Guide



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**William
Angliss
Institute**

Specialist centre
for foods, tourism
& hospitality

Project Base

William Angliss Institute of TAFE
555 La Trobe Street
Melbourne 3000 Victoria

Telephone: (03) 9606 2111
Facsimile: (03) 9670 1330

Acknowledgements

Project Director:	Wayne Crosbie
Chief Writer:	Alan Hickman
Subject Writer:	Emma Gronow
Project Manager/Editor:	Alan Maguire
DTP/Production:	Daniel Chee, Mai Vu, Riny Yasin, Kaly Quach

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Competency Based Training (CBT) and assessment - An introduction for trainers

Competency

Competency refers to the ability to perform particular tasks and duties to the standard of performance expected in the workplace.

Competency requires the application of specified knowledge, skills and attitudes relevant to effective participation, consistently over time and in the workplace environment.

The essential skills and knowledge are either identified separately or combined.

Knowledge identifies what a person needs to know to perform the work in an informed and effective manner.

Skills describe the application of knowledge to situations where understanding is converted into a workplace outcome.

Attitude describes the founding reasons behind the need for certain knowledge or why skills are performed in a specified manner.

Competency covers all aspects of workplace performance and involves:

- Performing individual tasks
- Managing a range of different tasks
- Responding to contingencies or breakdowns
- Dealing with the responsibilities of the workplace
- Working with others.

Unit of Competency

Like with any training qualification or program, a range of subject topics are identified that focus on the ability in a certain work area, responsibility or function.

Each manual focuses on a specific unit of competency that applies in the hospitality workplace.

In this manual a unit of competency is identified as a 'unit'.

Each unit of competency identifies a discrete workplace requirement and includes:

- Knowledge and skills that underpin competency
- Language, literacy and numeracy
- Occupational safety and health requirements.

Each unit of competency must be adhered to in training and assessment to ensure consistency of outcomes.

Element of Competency

An element of competency describes the essential outcomes within a unit of competency.

The elements of competency are the basic building blocks of the unit of competency. They describe in terms of outcomes the significant functions and tasks that make up the competency.

In this manual elements of competency are identified as an 'element'.

Performance criteria

Performance criteria indicate the standard of performance that is required to demonstrate achievement within an element of competency. The standards reflect identified industry skill needs.

Performance criteria will be made up of certain specified skills, knowledge and attitudes.

Learning

For the purpose of this manual learning incorporates two key activities:

- Training
- Assessment.

Both of these activities will be discussed in detail in this introduction.

Today training and assessment can be delivered in a variety of ways. It may be provided to participants:

- On-the-job – in the workplace
- Off-the-job – at an educational institution or dedicated training environment
- As a combination of these two options.

No longer is it necessary for learners to be absent from the workplace for long periods of time in order to obtain recognised and accredited qualifications.

Learning Approaches

This manual will identify two avenues to facilitate learning:

Competency Based Training (CBT)

This is the strategy of developing a participant's competency.

Educational institutions utilise a range of training strategies to ensure that participants are able to gain the knowledge and skills required for successful:

- Completion of the training program or qualification
- Implementation in the workplace.

The strategies selected should be chosen based on suitability and the learning styles of participants.

Competency Based Assessment (CBA)

This is the strategy of assessing competency of a participant.

Educational institutions utilise a range of assessment strategies to ensure that participants are assessed in a manner that demonstrates validity, fairness, reliability, flexibility and fairness of assessment processes.

Flexibility in Learning

It is important to note that flexibility in training and assessment strategies is required to meet the needs of participants who may have learning difficulties. The strategies used will vary, taking into account the needs of individual participants with learning difficulties. However they will be applied in a manner which does not discriminate against the participant or the participant body as a whole.

Catering for Participant Diversity

Participants have diverse backgrounds, needs and interests. When planning training and assessment activities to cater for individual differences, trainers and assessors should:

- Consider individuals' experiences, learning styles and interests
- Develop questions and activities that are aimed at different levels of ability
- Modify the expectations for some participants
- Provide opportunities for a variety of forms of participation, such as individual, pair and small group activities
- Assess participants based on individual progress and outcomes.

The diversity among participants also provides a good reason for building up a learning community in which participants support each other's learning.

Participant Centred Learning

This involves taking into account structuring training and assessment that:

- *Builds on strengths* – Training environments need to demonstrate the many positive features of local participants (such as the attribution of academic success to effort, and the social nature of achievement motivation) and of their trainers (such as a strong emphasis on subject disciplines and moral responsibility). These strengths and uniqueness of local participants and trainers should be acknowledged and treasured
- *Acknowledges prior knowledge and experience* – The learning activities should be planned with participants' prior knowledge and experience in mind
- *Understands learning objectives* – Each learning activity should have clear learning objectives and participants should be informed of them at the outset. Trainers should also be clear about the purpose of assignments and explain their significance to participants
- *Teaches for understanding* – The pedagogies chosen should aim at enabling participants to act and think flexibly with what they know
- *Teaches for independent learning* – Generic skills and reflection should be nurtured through learning activities in appropriate contexts of the curriculum. Participants should be encouraged to take responsibility for their own learning

- *Enhances motivation* – Learning is most effective when participants are motivated. Various strategies should be used to arouse the interest of participants
- *Makes effective use of resources* – A variety of teaching resources can be employed as tools for learning
- *Maximises engagement* – In conducting learning activities, it is important for the minds of participants to be actively engaged
- *Aligns assessment with learning and teaching* – Feedback and assessment should be an integral part of learning and teaching
- *Caters for learner diversity* – Trainers should be aware that participants have different characteristics and strengths and try to nurture these rather than impose a standard set of expectations.

Active Learning

The goal of nurturing independent learning in participants does not imply that they always have to work in isolation or solely in a classroom. On the contrary, the construction of knowledge in tourism and hospitality studies can often best be carried out in collaboration with others in the field. Sharing experiences, insights and views on issues of common concern, and working together to collect information through conducting investigative studies in the field (active learning) can contribute a lot to their eventual success.

Active learning has an important part to play in fostering a sense of community in the class. First, to operate successfully, a learning community requires an ethos of acceptance and a sense of trust among participants, and between them and their trainers. Trainers can help to foster acceptance and trust through encouragement and personal example, and by allowing participants to take risks as they explore and articulate their views, however immature these may appear to be. Participants also come to realise that their classmates (and their trainers) are partners in learning and solving.

Trainers can also encourage cooperative learning by designing appropriate group learning tasks, which include, for example, collecting background information, conducting small-scale surveys, or producing media presentations on certain issues and themes. Participants need to be reminded that, while they should work towards successful completion of the field tasks, developing positive peer relationships in the process is an important objective of all group work.

Competency Based Training (CBT)

Principle of Competency Based Training

Competency based training is aimed at developing the knowledge, skills and attitudes of participants, through a variety of training tools.

Training Strategies

The aims of this curriculum are to enable participants to:

- Undertake a variety of subject courses that are relevant to industry in the current environment
- Learn current industry skills, information and trends relevant to industry
- Learn through a range of practical and theoretical approaches
- Be able to identify, explore and solve issues in a productive manner

- Be able to become confident, equipped and flexible managers of the future
- Be 'job ready' and a valuable employee in the industry upon graduation of any qualification level.

To ensure participants are able to gain the knowledge and skills required to meet competency in each unit of competency in the qualification, a range of training delivery modes are used.

Types of Training

In choosing learning and teaching strategies, trainers should take into account the practical, complex and multi-disciplinary nature of the subject area, as well as their participant's prior knowledge, learning styles and abilities.

Training outcomes can be attained by utilising one or more delivery methods:

Lecture/Tutorial

This is a common method of training involving transfer of information from the trainer to the participants. It is an effective approach to introduce new concepts or information to the learners and also to build upon the existing knowledge. The listener is expected to reflect on the subject and seek clarifications on the doubts.

Demonstration

Demonstration is a very effective training method that involves a trainer showing a participant how to perform a task or activity. Through a visual demonstration, trainers may also explain reasoning behind certain actions or provide supplementary information to help facilitate understanding.

Group Discussions

Brainstorming in which all the members in a group express their ideas, views and opinions on a given topic, is a free flow and exchange of knowledge among the participants and the trainer. The discussion is carried out by the group on the basis of their own experience, perceptions and values. This will facilitate acquiring new knowledge. When everybody is expected to participate in the group discussion, even the introverted persons will also get stimulated and try to articulate their feelings.

The ideas that emerge in the discussions should be noted down and presentations are to be made by the groups. Sometimes consensus needs to be arrived at on a given topic. Group discussions are to be held under the moderation of a leader guided by the trainer. Group discussion technique triggers thinking process, encourages interactions and enhances communication skills.

Role Play

This is a common and very effective method of bringing into the classroom real life situations, which may not otherwise be possible. Participants are made to enact a particular role so as to give a real feel of the roles they may be called upon to play. This enables participants to understand the behaviour of others as well as their own emotions and feelings. The instructor must brief the role players on what is expected of them. The role player may either be given a ready-made script, which they can memorise and enact, or they may be required to develop their own scripts around a given situation. This technique is extremely useful in understanding creative selling techniques and human relations. It can be entertaining and energising and it helps the reserved and less literate to express their feelings.

Simulation Games

When trainees need to become aware of something that they have not been conscious of, simulations can be a useful mechanism. Simulation games are a method based on "here and now" experience shared by all the participants. The games focus on the participation of the trainees and their willingness to share their ideas with others. A "near real life" situation is created providing an opportunity to which they apply themselves by adopting certain behaviour. They then experience the impact of their behaviour on the situation. It is carried out to generate responses and reactions based on the real feelings of the participants, which are subsequently analysed by the trainer.

While use of simulation games can result in very effective learning, it needs considerable trainer competence to analyse the situations.

Individual /Group Exercises

Exercises are often introduced to find out how much the participant has assimilated. This method involves imparting instructions to participants on a particular subject through use of written exercises. In the group exercises, the entire class is divided into small groups, and members are asked to collaborate to arrive at a consensus or solution to a problem.

Case Study

This is a training method that enables the trainer and the participant to experience a real life situation. It may be on account of events in the past or situations in the present, in which there may be one or more problems to be solved and decisions to be taken. The basic objective of a case study is to help participants diagnose, analyse and/or solve a particular problem and to make them internalise the critical inputs delivered in the training. Questions are generally given at the end of the case study to direct the participants and to stimulate their thinking towards possible solutions. Studies may be presented in written or verbal form.

Field Visit

This involves a carefully planned visit or tour to a place of learning or interest. The idea is to give first-hand knowledge by personal observation of field situations, and to relate theory with practice. The emphasis is on observing, exploring, asking questions and understanding. The trainer should remember to brief the participants about what they should observe and about the customs and norms that need to be respected.

Group Presentation

The participants are asked to work in groups and produce the results and findings of their group work to the members of another sub-group. By this method participants get a good picture of each other's views and perceptions on the topic and they are able to compare them with their own point of view. The pooling and sharing of findings enriches the discussion and learning process.

Practice Sessions

This method is of paramount importance for skills training. Participants are provided with an opportunity to practice in a controlled situation what they have learnt. It could be real life or through a make-believe situation.

Games

This is a group process and includes those methods that involve usually fun-based activity, aimed at conveying feelings and experiences, which are everyday in nature, and applying them within the game being played. A game has set rules and regulations, and may or may not include a competitive element. After the game is played, it is essential that the participants be debriefed and their lessons and experiences consolidated by the trainer.

Research

Trainers may require learners to undertake research activities, including online research, to gather information or further understanding about a specific subject area.

Competency Based Assessment (CBA)

Principle of Competency Based Assessment

Competency based assessment is aimed at compiling a list of evidence that shows that a person is competent in a particular unit of competency.

Competencies are gained through a multitude of ways including:

- Training and development programs
- Formal education
- Life experience
- Apprenticeships
- On-the-job experience
- Self-help programs.

All of these together contribute to job competence in a person. Ultimately, assessors and participants work together, through the 'collection of evidence' in determining overall competence.

This evidence can be collected:

- Using different formats
- Using different people
- Collected over a period of time.

The assessor, who is ideally someone with considerable experience in the area being assessed, reviews the evidence and verifies the person as being competent or not.

Flexibility in Assessment

Whilst allocated assessment tools have been identified for this subject, all attempts are made to determine competency and suitable alternate assessment tools may be used, according to the requirements of the participant.

The assessment needs to be equitable for all participants, taking into account their cultural and linguistic needs.

Competency must be proven regardless of:

- Language
- Delivery Method
- Assessment Method.

Assessment Objectives

The assessment tools used for subjects are designed to determine competency against the 'elements of competency' and their associated 'performance criteria'.

The assessment tools are used to identify sufficient:

- a) Knowledge, including underpinning knowledge
- b) Skills
- c) Attitudes

Assessment tools are activities that trainees are required to undertake to prove participant competency in this subject.

All assessments must be completed satisfactorily for participants to obtain competence in this subject. There are no exceptions to this requirement, however, it is possible that in some cases several assessment items may be combined and assessed together.

Types of Assessment

Allocated Assessment Tools

There are a number of assessment tools that are used to determine competency in this subject:

- Work projects
- Written questions
- Oral questions
- Third Party Report
- Observation Checklist.

Instructions on how assessors should conduct these assessment methods are explained in the Assessment Manuals.

Alternative Assessment Tools

Whilst this subject has identified assessment tools, as indicated above, this does not restrict the assessor from using different assessment methods to measure the competency of a participant.

Evidence is simply proof that the assessor gathers to show participants can actually do what they are required to do.

Whilst there is a distinct requirement for participants to demonstrate competency, there are many and diverse sources of evidence available to the assessor.

Ongoing performance at work, as verified by a supervisor or physical evidence, can count towards assessment. Additionally, the assessor can talk to customers or work colleagues to gather evidence about performance.

A range of assessment methods to assess competency include:

- Practical demonstrations
- Practical demonstrations in simulated work conditions
- Problem solving
- Portfolios of evidence
- Critical incident reports
- Journals
- Oral presentations
- Interviews
- Videos
- Visuals: slides, audio tapes
- Case studies
- Log books
- Projects
- Role plays
- Group projects
- Group discussions
- Examinations.

Recognition of Prior Learning

Recognition of Prior Learning is the process that gives current industry professionals who do not have a formal qualification, the opportunity to benchmark their extensive skills and experience against the standards set out in each unit of competency/subject.

Also known as a Skills Recognition Audit (SRA), this process is a learning and assessment pathway which encompasses:

- Recognition of Current Competencies (RCC)
- Skills auditing
- Gap analysis and training
- Credit transfer.

Assessing competency

As mentioned, assessment is the process of identifying a participant's current knowledge, skills and attitudes sets against all elements of competency within a unit of competency. Traditionally in education, grades or marks were given to participants, dependent on how many questions the participant successfully answered in an assessment tool.

Competency based assessment does not award grades, but simply identifies if the participant has the knowledge, skills and attitudes to undertake the required task to the specified standard.

Therefore, when assessing competency, an assessor has two possible results that can be awarded:

- Pass Competent (PC)
- Not Yet Competent (NYC).

Pass Competent (PC)

If the participant is able to successfully answer or demonstrate what is required, to the expected standards of the performance criteria, they will be deemed as 'Pass Competent' (PC).

The assessor will award a 'Pass Competent' (PC) if they feel the participant has the necessary knowledge, skills and attitudes in all assessment tasks for a unit.

Not Yet Competent' (NYC)

If the participant is unable to answer or demonstrate competency to the desired standard, they will be deemed to be 'Not Yet Competent' (NYC).

This does not mean the participant will need to complete all the assessment tasks again. The focus will be on the specific assessment tasks that were not performed to the expected standards.

The participant may be required to:

- a) Undertake further training or instruction
- b) Undertake the assessment task again until they are deemed to be 'Pass Competent'.

Competency standard

UNIT TITLE: MAINTAIN FINANCIAL STANDARDS AND RECORDS		NOMINAL HOURS: 65
UNIT NUMBER: D1.HFI.CL8.02 D1.HFA.CL7.03		
UNIT DESCRIPTOR: This unit deals with the skills and knowledge required to maintain financial standards and records in a range of settings within the hotel and travel industries		
ELEMENTS AND PERFORMANCE CRITERIA	UNIT VARIABLE AND ASSESSMENT GUIDE	
Element 1. Monitor financial procedures 1.1 Check <i>transactions</i> accordance with enterprise procedures 1.2 Balance transactions accurately 1.3 Check <i>balances</i> prepared by others in accordance with enterprise procedures 1.4 Implement and control <i>financial systems</i> in accordance with enterprise procedures 1.5 Monitor financial systems and provide input on possible improvements to appropriate personnel 1.6 Identify and resolve <i>discrepancies or errors</i> according to level of responsibility and in consultation with <i>designated persons</i> Element 2. Complete financial reports 2.1 Complete routine <i>financial/statistical reports</i> accurately within <i>designated timelines</i> 2.2 Forward financial/statistical reports promptly to the appropriate person/department	Unit Variables The Unit Variables provide advice to interpret the scope and context of this unit of competence, allowing for differences between enterprises and workplaces. It relates to the unit as a whole and facilitates holistic assessment This unit applies to maintaining financial standards and records within the labour divisions of the hotel and travel industries and may include: Front Office Housekeeping Food and Beverage Service Food Production Travel Agencies Tour Operation <i>Transactions</i> may include: • Purchasing a fixed asset on credit • Selling a fixed asset on credit • Correcting posting errors	

	• Writing off a bad debt • Interest expense • Interest receivable • Commencing business entries • Withdrawal of stock/assets by owner • Non-cash transactions, e.g. Writing off depreciation, stock losses • Foreign currency. Check balances may include: • checking accuracy of debtor account balances, e.g. cash receipts journal, sales return journal, general journal • Checking accuracy of creditor account balances, e.g. Cash payments journal, purchases journal, purchases returns journal, general journal • Checking the total of the debtor's schedule equals the balance of the debtor's control account • Checking the total of the creditor's schedule equals the balance of the creditor's control account. <i>Financial systems</i> should relate to: • Sales and sales returns • Purchases and purchase returns • Cash receipts • Cash payments • Asset acquisition • Stock control • Debtor control
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	• Creditor control • Petty cash • Banking procedures • Cash control, e.g. Security, floats. Discrepancies or errors may relate to: • Data entry errors • Sales that should have had an invoice raised but by error did not • Goods not delivered but charged for • Posting errors including: ▪ Posting of the wrong amount ▪ Omitting a posting ▪ Posting in the wrong column ▪ Posting more than once. Designated persons may include: • Supervisor • Bank • Organisation's authorisations department • Line management • Statutory body. Financial/statistical reports may relate to: • Daily, weekly, monthly transactions and reports • Break up by department
--	--

- Occupancy
- Sales performance
- Commission earnings
- Sales returns
- Commercial account activity
- Foreign currency activities
- All types of payment.

Designated timelines may relate to:

- Within agreed period
- Monthly
- By month end
- Within organisational deadline.

Assessment Guide

The following skills and knowledge must be assessed as part of this unit:

- Understanding of the processes to identify and respond to discrepancies and errors
- Understanding of the processes to identify and comply with organisational requirements
- Understanding of the principles of double entry bookkeeping and accrual accounting.

Linkages To Other Units

- Develop and implement business plans
- Develop and implement operational plans
- Plan and establish systems and procedures
- Prepare business documents

- Maintain financial performance within a budget
- Manage legal requirements for business compliance
- Manage physical assets and infrastructure
- Lead and manage people.

Critical Aspects of Assessment

Evidence of the following is essential:

- Demonstrated ability to audit financial procedures within a travel and hotel industry context
- Consistency of performance across a range of situations that demonstrates knowledge, understanding and skill in implementing the principles of double entry bookkeeping and accrual accounting.

Resource Implications

Training and assessment to include access to a real or simulated commercial workplace environment in which financial procedures can be audited; and access to workplace standards, procedures, policies, guidelines, tools and equipment.

Context of Assessment

This unit may be assessed on or off the job:

- Assessment should include practical demonstration of the ability to maintain financial standards and records in the workplace or through a simulation activity, supported by a range of methods to assess underpinning knowledge
- Assessment must relate to the individual's work area, job role and area of responsibility
- Assessment must include project or work activities that allow the candidate to respond to multiple and varying workplace issues relevant to work area, job role and area of responsibility that allow the candidate to demonstrate knowledge and skill in maintaining financial standards and records.

Assessment Methods

The following methods may be used to assess competency for this unit:

- Case studies
- Observation of practical candidate performance
- Oral and written questions
- Portfolio evidence
- Problem solving
- Role plays
- Third party reports completed by a supervisor
- Project and assignment work.

Key Competencies in this Unit

Level 1 = competence to undertake tasks effectively

Level 2 = competence to manage tasks

Level 3 = competence to use concepts for evaluating

Key Competencies	Level	Examples
Collecting, organising and analysing information	3	Analyse financial information
Communicating ideas and information	3	Express complex strategies in a clear and concise format
Planning and organising activities	3	Perform activities in line with business requirements

	Working with others and in teams	3	Devise strategies to ensure team commitment to maintaining financial standards and records
	Using mathematical ideas and techniques	2	Calculate deviations and reverse errors
	Solving problems	3	Identify discrepancies and errors
	Using technology	2	Identify and analyse the optimum use of technology to achieve business objectives; use accounting software

Notes and PowerPoint slides

Slide

MAINTAIN FINANCIAL STANDARDS AND RECORDS



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Slide 1

Slide No	Trainer Notes
1.	Trainer and trainees to introduce themselves.

Slide

Introduction

Maintain financial standards and records:

- Classroom schedule
- Trainer contact details
- Assessments
- Resources:
 - Calculator, pen and paper



Slide 2

Slide No	Trainer Notes
2.	Session Introduction • Welcome trainees and introduce the classroom schedule • Discuss housekeeping issues such as times of attendance, expected classroom behaviour, contact details, resources required such as a calculator • Explain that the trainees will be assessed and the requirements of those assessments. Trainers will find it beneficial to have access to the following training equipment: • Whiteboard • Butchers paper • Spreadsheet software is optional but may assist in the demonstration of calculations • Internet access is optional but will assist with using relevant, local examples to illustrate concepts. Get to know you activity on next slide.

Slide

Introduction

Getting to know each other:

- What is your name?
- Where do you live?
- Why are you doing this course?
- Where do you work?
- Have you studied a module or unit similar to this before?



Slide 3

Slide No	Trainer Notes
3.	Ice-breaker (10 minutes) If the trainees haven't met before ask them to break into pairs. Each person in the pair should introduce himself to the other and ask key questions as above. After the trainees have had some time to talk, ask them to introduce their partner using the information they have learnt about them. If the trainees have met you may prefer to ask them to introduce themselves to you, the trainer, using the questions above as a basis for discussion. The trainer will now have a better idea of the composition of the group and the group will feel more comfortable with each other. It is sometimes helpful to make a brief note next to the trainee's name regarding their experience or knowledge as you may be able to draw on this throughout the module.

Slide

Introduction

Unit comprises two elements which are covered in this sequence:

- Implement and monitor financial systems:
 - Internal control system
- Maintain financial systems:
 - Check and balance transactions
- Provide financial information:
 - Routine reports



Slide 4

Slide No	Trainer Notes
4.	Trainers please note that the sequence of materials in the slides is different to the training manual. The slides begin with an overview of the system, the controls the system needs and then the various procedures and processes to maintain the integrity of the system. Finally, examples of the products of the system, the financial reports are discussed.

Slide

Implement and monitor the financial system

● A Definition of Accounting

“The systematic recording, reporting and analysis of financial transactions of a business”

● The Accounting System

The people and the processes by which an organisation records, reports and analyses financial transactions



Slide 5

Slide No	Trainer Notes
5.	Trainer: Before we begin there are some concepts to explain first. To assist trainees to contextualise the definition of accounting, ask them for examples of financial transactions in their day to day lives. Your objective is to illustrate that this is any transaction where goods or services are exchanged for payment. You may like to begin with some examples of your own such as: • Purchases of goods and services • Use of their mobile phones • Payment of wages for work performed • Payment of tuition fees for this course. The terms financial and accounting system are used throughout this unit to explain the process of recording transactions. In the strictest sense, the financial system encompasses more than just the accounting system but for the purposes of this unit, the terms are used interchangeably.

Slide

Implement and monitor the financial system

Why have an accounting system?

- Manager's responsibilities:
 - Planning
 - Organising
 - Directing
 - Controlling
- Financial management
- Manual and computerised systems



Slide 6

Slide No

Trainer Notes

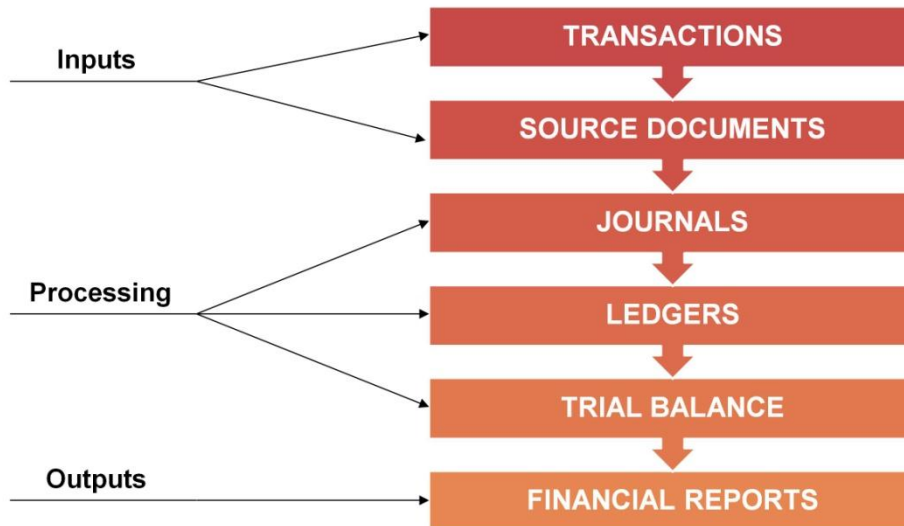
6.

Trainers: Explain the key responsibilities of managers and the support the financial or accounting system can provide. It may be possible to illustrate through practical examples from personal or trainee's experience. It is necessary that adequate time is taken to do this as this discussion will highlight the purpose and importance of financial information.

Trainers also need to explain that although many organisations use computerised systems, this unit will explain a manual system as all computerised accounting systems are based on manual processes and procedures.

Slide

Maintaining the financial system



Slide 7

Slide No	Trainer Notes
7.	Trainers are now introducing trainees to the flow of financial transactions and how an accounting system is structured so that financial transactions are ultimately summarised and reported. This is discussed in terms of illustrating inputs, outputs and processing as this is the manner in which the system is discussed throughout the manual. The design of the accounting or financial system is continued on the next slide.

Slide

Implement and monitor the financial system

The accounting system:

- Analysis
- Design
- Implementation and review



Slide 8

Slide No	Trainer Notes
8.	Trainers work through the process for developing an accounting system with trainees. The exercise on the next slide can be completed first, if the trainees have been asked to read the training manual or trainers can explain concepts and then trainees work through the exercise. This should be completed in small groups.

Slide

Implement and monitor the financial system

The accounting system:

- Key considerations:
 - Costs and benefits
 - Compatibility
 - Flexibility
 - Internal control – discussed in detail



Activity

Discuss in small groups the sources and information requirements a hospitality and tourism business might have from its accounting system.

Slide 9

Slide No	Trainer Notes
9.	Trainers note that Internal control considerations are discussed in detail over the next series of slides so discussion for the activity should merely focus on information requirements.

Slide

Implement internal controls

- Defined
- Measures:
 - Safeguard assets
 - Promote efficient operations
 - Maintain accurate and reliable accounting records
 - Compliance with policies and procedures



Slide 10

Slide No

Trainer Notes

10.

Trainers: The internal control system encompasses and protects the accounting system. It is important that trainees are clear on the need for internal controls and can identify internal control measures in the workplace. The next series of slides includes activities that should illustrate this. Refer to the training manual to ensure all internal control measures are discussed.

Slide

Implement internal controls

Structure of the system:

- Administrative controls:
 - Organisation chart
 - Activity
- Financial controls – focus for unit:
 - Safeguard assets



Slide 11

Slide No	Trainer Notes
11.	Trainer: The training manual includes two organisational charts. Trainees use these examples to create an organisational chart for their workplace or a local example provided by the trainer. This activity can be completed individually or in small groups. The purpose is to highlight that the organisation chart defines responsibilities and supervision in an organisation. Financial controls are continued on the next number of slides.

Slide

Implement internal controls

Structure of the system:

- Financial controls – focus for unit:
 - Complete
 - Valid
 - Accurate
 - Adequate safeguards
 - Accountability



Slide 12

Slide No	Trainer Notes
----------	---------------

12.

Trainers: Financial controls address these objectives for financial or accounting information. They shape the reasons or purpose behind many of the internal control processes and procedures. Trainees should be reminded to keep these objectives in mind. It can help to display them on a piece of butcher's paper or whiteboard when discussing internal controls.

Slide

Implement internal controls

Principles of internal control:

- Clear lines of responsibility:
 - Duties
 - Supervision
- Separation of duties for related transactions:
 - Examples of related transactions



Slide 13

Slide No	Trainer Notes
13.	Trainer: Trainees to appreciate that when employees understand the reasons for internal controls as well as the principles, they are more likely to follow the processes and procedures to maintain an effective system. You may choose to start with the activity on slide 16 and illustrate the principles or introduce all the principles to trainees first.

Slide

Implement internal controls

Principles of internal control:

- Written and documentation procedures
- Set standards and evaluate results
- Mechanical and electronic devices
- Internal audits
- Limitations of systems



Slide 14

Slide No

Trainer Notes

14.

Continued from the previous slide.

Slide

Implement internal controls

Challenges for hospitality and tourism industry:

- Business size
- Cash transactions
- Labour intensive
- Inventory
- Sales cycles
- E-commerce



Slide 15

Slide No	Trainer Notes
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15.	Continued from the previous slide.
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Slide

Implement internal controls

Activities

Identify and describe the internal control issue:

- a) The manager of a food and beverage outlet is responsible for purchasing beverage stocks, authorising payment for stock ordered and counting beverage inventory.
- b) The manager of a souvenir shop at an accommodation venue records the cash takings, deposits the takings into the bank account and checks that the accounting system and the bank account are the same at the end of a month.
- c) The room amenities supply cupboard can be accessed by all housekeeping staff at an accommodation venue.

Slide 16

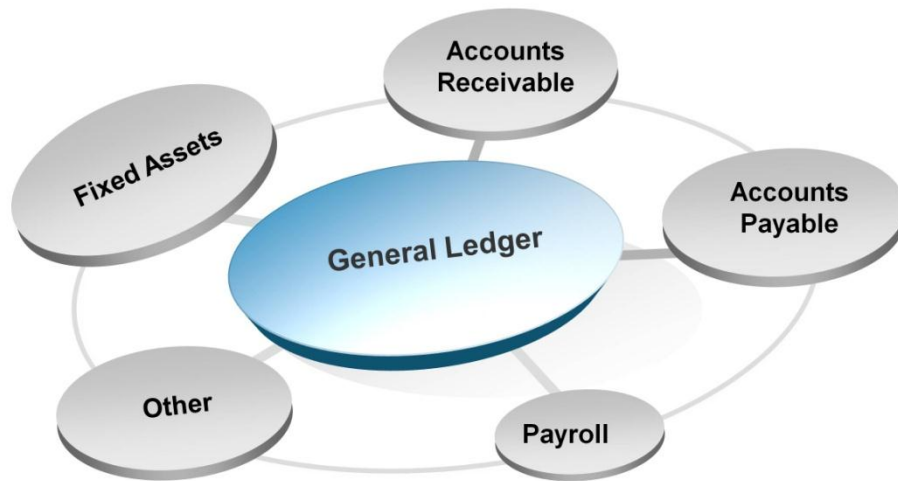
Slide No	Trainer Notes
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16.

Continued from the previous slide.

Slide

Implement internal controls



Slide 17

Slide No	Trainer Notes
17.	Trainer: the activity has highlighted internal control issues in certain functional areas in an establishment. Internal control processes and procedures are discussed over the next slides in terms of each area of a financial system.

Slide

Implement internal controls

Internal controls and cash:

- Discussion from previous activity
- The bank account
- Cash receipts:
 - Separation of related transactions
 - Documentation



Slide 18

Slide No	Trainer Notes
18.	Trainees must understand that the definition of cash includes all local legal forms of payment. The earlier activity would have prompted discussions surrounding internal controls for cash and this slide and the next expand that discussion.

Slide

Implement internal controls

Internal controls and cash:

- Cash payments:
 - Authorisation and supervision
 - Separation of related transactions
 - Documentation
- Petty cash
- Cash budgets



Slide 19

Slide No	Trainer Notes
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19.

Continued from previous slide.

Slide

Implement internal controls

Activity

In small groups, document the internal control procedures for cash that are important for a hospitality and tourism establishment. You can choose the size of the business as well as the products sold but you must specify this to the group.



Slide 20

Slide No

Trainer Notes

20.

Trainer: Trainees can refer to the training manual for details and must cover controls for cash receipts and payments, petty cash and discuss cash budgets.

Slide

Implement internal controls

Internal controls and accounts receivable:

- Managing credit policies
- Adjustments to account balances:
 - Authorisation
 - Documentation
- Cash received:
 - Separation of related transactions
- Final balances:
 - Responsibilities



Slide 21

Slide No	Trainer Notes
21.	Trainer: Explain the nature of accounts receivable in the hospitality and tourism industry and that credit may not always be extended to customers, guests or clients. Compare a small restaurant to a large accommodation venue to illustrate for example.

Slide

Implement internal controls

Activity

Document a set of procedures that addresses the separation of responsibilities for accounts receivable tasks. Specify the personnel that would conduct the tasks.



Slide 22

Slide No	Trainer Notes
22.	Trainer: Trainees can refer to the training manual for details and must cover controls for cash receipts, adjustments and the reconciliation of final balances.

Slide

Implement internal controls

Internal controls and purchases:

- Separation of responsibilities:
 - Requests
 - Orders
 - Receiving goods
 - Recording in the accounting system
- Documentation:
 - Standard, numbered



Slide 23

Slide No	Trainer Notes
23.	Trainer: Purchases refers to the purchase of supplies that are converted to goods and services for re-sale. An activity follows on the next slide.

Slide

Implement internal controls

Activity

Discuss the personnel that may be needed to implement effective controls over purchasing. Which responsibilities could be combined, if any, in a smaller organisation? Is there additional procedures that could be put in place if this was the case?



Slide 24

Slide No

Trainer Notes

24.

Continued from previous slide.

Slide

Implement internal controls

Internal controls and payroll:

- Confidentiality
- Bank account
- Employee details
- Processing payroll:
 - Authorisation
- Distributing payroll



Slide 25

Slide No	Trainer Notes
25.	Trainers to ensure that trainees appreciate the need for confidentiality surrounding the payroll process. An activity follows.

Slide

Implement internal controls

Activity

Describe the key internal control principles that the processed and procedures in the payroll function address.



Slide 26

Slide No	Trainer Notes
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26.	Continued from previous slide.
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Slide

Implement internal controls

Internal controls and inventory:

- Discussion from activity – room amenities
- Physical count
- Secure storage
- Access
- Recording system
- Managing quantities ordered



Slide 27

Slide No	Trainer Notes
27.	Trainer: Not all hospitality and tourism establishments hold significant levels of inventory. Internal controls should be appropriate to the quantities and value of the stock held. Trainees can provide examples where possible. With regard to quantities ordered, trainees do not need to know the inventory recording systems but that as inventory is received and used it needs to be recorded appropriately.

Slide

Implement internal controls

Other internal controls:

- Fixed assets
- Standard costs:
 - Purpose
 - Nature
 - Type

Minimising not eliminating risks!!



Slide 28

Slide No	Trainer Notes
28.	Trainer: Refer to the training manual for details on the other internal controls trainees should know. Standard costs can be discussed by asking trainees to provide examples of aspects of a business that this internal control may be used. This can be a class activity if appropriate. Remember that internal controls do not eliminate risks but seek to minimise them.

Slide

Monitoring the financial system

Monitoring the accounting system:

- Why?
- How?
- Internal audits
- Analysis
- Asset values



Slide 29

Slide No	Trainer Notes
29.	Trainer: When internal controls are implemented, managers need to monitor the accounting system to ensure the objectives of reliability, validity, completeness and accuracy are met. This slide provides an overview for the next series of slides.

Slide

Monitoring the financial system

Internal audit process:

- Meeting
- Identify internal controls
- Evaluate internal controls
- Assess outcome
- Final report



Slide 30

Slide No

Trainer Notes

30.

Trainers highlight the variations to internal audits depending on the size of the organisation and should refer to personal or trainees experience if possible.

Slide

Monitoring the financial system

Monitoring the financial system:

- Effective and efficient operations
- Budgets
- Reports
- Activity

Match the operational information the budgets and associated reports monitor.



Slide 31

Slide No	Trainer Notes
31.	Trainer: Provide trainees with a range of budget names, the training manual can be used as a guide for trainees to discuss the information the budget contains. Trainees can match the budget to the report, also from the training manual.

Slide

Monitoring the financial system

Variance analysis:

- Defined
- Favourable and unfavourable

	Actual over budget	Actual under budget
Sales and profit	Improve profit Favourable	Reduce profit Unfavourable
Expenses	Reduce profit Unfavourable	Improve profit Favourable

Slide 32

Slide No

Trainer Notes

32.

Trainer: It is important that trainees do not think of variances as good or bad but favourable and unfavourable compared to budget.

Slide

Monitoring the financial system

Variance analysis:

- Five steps:
 - Compare actual and budget results
 - Identify significant variances
 - Determine reason for variance
 - Take necessary corrective action
 - Report



Slide 33

Slide No	Trainer Notes
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33.

Continued from previous slide.

Slide

Monitoring the financial system

Variance analysis:

- Determine reason for variance:
 - Price and volume
 - Cost and quantity
 - Watch for counter-balances
- Corrective action:
 - Internal controls



Slide 34

Slide No

Trainer Notes

34.

Continued from previous slide.

Slide

Monitoring the financial system

Horizontal analysis:

- Actual results and budgeted numbers for EACH line item in financial data is compared
- Actual results and budgeted numbers for EACH line item in financial data is compared
- Actual minus budget = Variance in monetary unit

Line item	Budget	Actual	Variance	Favourable Unfavourable
Sales	56,000	58,200	2,200	Favourable
Wages	16,800	18,900	2,100	Unfavourable

Slide 35

Slide No Trainer Notes

- | | |
|-----|--|
| 35. | Trainers take trainees through calculations. Note that trainers should source local, relevant examples for exercises for trainees to practice all variance calculations. |
|-----|--|

Slide

Monitoring the financial system

Variance analysis:

Housekeeping payroll expense			
Actual	Budget	Difference	F or U?
\$31,980	\$32,625	\$645	Favourable

Reasons:

Actual: 4,100 hours @ \$7.80 per hour = \$31,980

Budget: 4,350 hours @ \$7.50 per hour = \$32,625

Variance (favourable) \$645

Slide 36

Slide No

Trainer Notes

36.

Continued from previous slide.

Slide

Monitoring the financial system

Variance analysis:

- **Labour/Payroll Rate Variance:**
 - 4,100 hours x \$0.30 = \$1,230 Unfavourable
- **Labour/Payroll Efficiency Variance:**
 - 250 hours x \$7.50 = \$1,875 Favourable
 - Total Variance = \$645 Favourable



Slide 37

Slide No	Trainer Notes
37.	Continued from previous slide - this highlights the two reasons why there may be a payroll variance – the hours worked or the rates of pay.

Slide

Monitoring the financial system

Vertical analysis:

- EACH line item calculated as a percentage of sales
- Line item divided by sales x 100 = Variance
- Budget and actual reports are calculated separately

Line item	Budget	Variance	Actual	Variance
Sales	56,000	100%	58,200	100%
Wages	16,800	30.0%	18,900	32.47%
Rent	11,000	19.64%	11,000	18.9%
Advertising	560	1.0%	800	1.37%
Total Expenses	28,360	50.64%	30,700	52.75%
Profit or Income	27,640	49.36%	25,300	43.47%

Slide 38

Slide No

Trainer Notes

38.

Trainers take trainees through calculations noting that budget line items are divided by budgeted sales and actual line items by actual sales.

Slide

Monitoring the financial system

Ratio analysis:

- Defined
- Financial
- Operational



Slide 39

Slide No	Trainer Notes
39.	Trainers: ensure that trainees are aware of the different ways ratios are expressed and that the ratio must have meaning. An explanation as follows might be of assistance: What is a ratio? • It shows the relative size of two numbers, calculated by dividing one number by the other • For example, if a business has Assets of \$500,000 and Liabilities of \$350,000, Liabilities divided by Assets shows a ratio of 0.7 to 1 • For each \$1 of Assets, the business has Liabilities of \$0.70 • Or if Assets are divided by Liabilities, a ratio of 1.429 results • For each \$1 owed to outsiders, the business has \$1.43 in Assets. The distinction between operational and financial ratios for hospitality and tourism establishments can be highlighted by referring to the ratios in the training manual.

Slide

Monitoring the financial system

Ratio analysis:

- Key financial ratios:
 - Gross and net profit margins
 - Liquidity
 - Accounts receivable turnover
 - Inventory turnover



Slide 40

Slide No	Trainer Notes
40.	Trainer: at a minimum, trainees should be able to calculate and interpret the ratios listed.

Slide

Monitoring the financial system

Ratio analysis:

- Key operational ratios:
 - Occupancy
 - RevPAR
 - Food and beverage cost percentages
 - Payroll cost percentage



Slide 41

Slide No	Trainer Notes
41.	Trainer: at a minimum, trainees should be able to calculate and interpret the ratios listed.

Slide

Monitoring the financial system

Ratio analysis:

- Worked example from financial statements
- Additional exercise on next slide



Slide 42

Slide No	Trainer Notes
42.	Trainers to source local financial statements and operational data to work through the key ratios and their interpretations with trainees. Formulas and interpretation notes are included in the training manual.

Slide

Monitoring the financial system

Ratio analysis:

The following financial information highlights the profitability and financial stability in the last 3 years of a small restaurant.

Year	20 x 1	20 x 2	20 x 3
Current asset ratio	1.20	1.34	1.46
Food inventory turnover	36 times	30 times	25 times
Accounts receivable turnover	29 times	25 times	19 times
Debt to equity	2.40	2.20	1.85
Sales (all on credit)	945,000	952,000	948,000

Required:

Using the above information, answer each of the following questions, including an explanation of why you answered each question this way:

- On average, is the restaurant extending a shorter or longer credit period to its customer?
- Over the years has more or less money been invested in food inventory?
- During the period, has the liquidity of the restaurant improved?
- Imagine that in 20 x 3 the restaurant wants to finance a proposed expansion through a loan. Relative to its financial position in 20 x 1, do you think it will be easier or harder to borrow?

Slide 43

Slide No	Trainer Notes
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43.	Continued from previous slides.
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Slide

Monitoring the financial system

Benchmarking:

- Benchmarks:
 - Defined
 - Common examples
 - Activity



Slide 44

Slide No

Trainer Notes

44.

Trainers: source local benchmarks and compare to ratios calculated from the financial statements. Trainees should work in groups to enable discussion and enhance understanding.

Slide

Monitoring the financial system

Trend analysis:

- Defined
- Horizontal analysis:
 - Base period
- Vertical analysis:
 - Base account category – Revenue



Slide 45

Slide No	Trainer Notes
45.	Trainers explain how trends help managers to improve their understanding of operations. An example follows to aid discussions.

Slide

Monitoring the financial system

Common size	2010	2011 change	2012 change
Sales	100.0%	100.0%	100.0%
Cost of Sales	48.1%	75.0%	80.0%
Gross profit	51.9%	25.0%	20.0%
Selling expenses	10.4%	7.5%	6.0%
Administration expenses	19.3%	25.0%	30.0%
Financial expenses	8.1%	0.0%	0.0%
Total expenses	37.8%	32.5%	36.0%
Net Profit	14.1%	-7.5%	-16.0%

46

Slide No

Trainer Notes

46.

Continued from previous slide.

Slide

Monitoring the financial system

Monitoring cash:

- Cash budget:
 - Actual and budget cash flows
 - Opening and closing bank balances
 - Example on next slide
- CP3 system:
 - purchase orders



Slide 47

Slide No	Trainer Notes
47.	Trainees work through cash budget on next slide, explaining source of information. Relevant, local examples can also be used as activities as appropriate.

Slide

Monitoring the financial system

Monitoring cash – Cash budget

The Mid Semester Conference Cash Budget for the period April – June				
	APRIL	MAY	JUNE	TOTAL
Cash Inflows				
Registration Sales	30,000	25,000	45,000	100,000
Accommodation Sales	5,000	10,000	17,500	32,000
TOTAL	35,000	35,000	62,500	132,000
Cash Outflows				
Wages	14,000	12,250	24,500	50,750
Rent	3,000	3,000	3,000	9,000
Fixed Advertising	2,000	2,000	2,000	6,000
Variable Advertising	2,000	1,750	3,500	7,250
Light & Power			2,500	2,500
Insurance				
Renovations			4,500	4,500
TOTAL	21,000	19,000	40,000	80,000
Net Cash Inflow	14,000	16,000	22,500	52,500
Cash Balance Beginning	6,500	20,500	36,500	6,500
Cash Balance End	20,500	36,500	59,000	59,000

Slide 48

Slide No	Trainer Notes
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48.

Continued from previous slide.

Slide

Monitoring the financial system

Monitoring accounts receivable:

- Cash flows
- Accounts receivable ageing schedule:
 - Timing
 - Amounts
 - Credit policies
- Accounts receivable turnover ratio (revised)
- Procedures review



Slide 49

Slide No	Trainer Notes
49.	Trainers: highlight cash from accounts receivable as cash inflows and how that relates to budget from previous page. The accounts receivable ageing schedule and turnover ratio together provide the information for managers to monitor. Utilise the ratios calculated earlier as an example for this discussion.

Slide

Monitoring the financial system

Monitoring inventory:

- Stocktake or stock count:
 - Teams
 - Recording sheets
 - Input to accounting system
 - Collection procedures



Slide 50

Slide No

Trainer Notes

50.

Trainers may wish to organise trainees into small groups to review the training manual and discuss how to monitor inventory to assist with decision making. The ratios calculated earlier can be used as examples for the exercise.

Slide

Monitoring the financial system

Monitoring inventory:

- Inventory turnover ratio:
 - Calculation and formula (revised)
 - Cash flow implications



Slide 51

Slide No	Trainer Notes
51.	Continued from previous slide.

Slide

Monitoring the financial system

Monitoring fixed assets:

- The fixed assets register:
 - Unique details
 - Values
 - Physical count



Slide 52

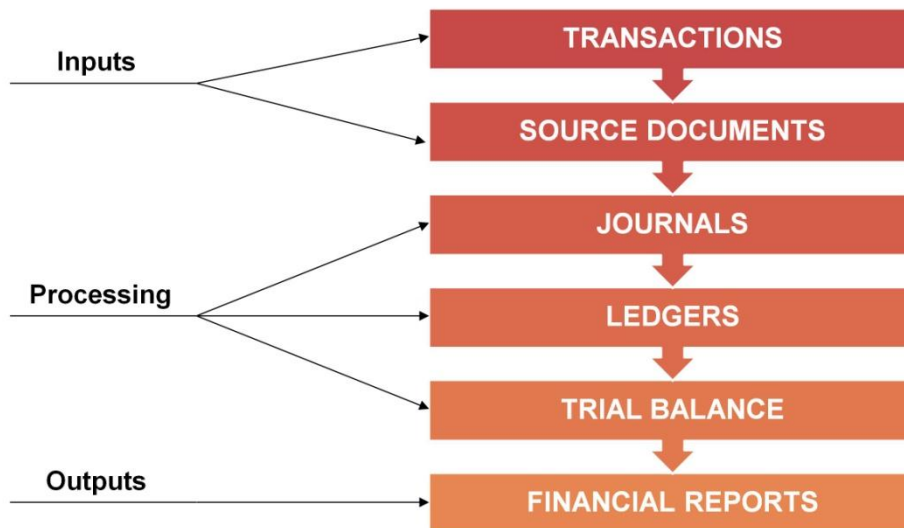
Slide No	Trainer Notes
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52.

Trainees to understand that it is both the physical presence of fixed assets and the value that management wish to monitor. Refer to the training manual using local examples to enhance discussion.

Slide

Maintaining the financial system



Slide 53

Slide No	Trainer Notes
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53.

Trainer: The focus for the next series of slides is the input and processing phases in the accounting system.

Slide

Checking transactions

- What is a transaction?
 - External
 - Internal
- Classifying transactions:
 - Assets
 - Liabilities
 - Owner's equity
 - Revenue
 - Expenses



Slide 54

Slide No

Trainer Notes

54.

Trainers: explain the difference between internal and external transactions using examples from the normal course of trainees experience. Definitions for the five account categories are found in the training manual.

Slide

Checking transactions

- Classifying transactions:
 - $\text{Revenue} - \text{Expenses} = \text{Net Profit / (Loss)}$
- The accounting equation:
 - $\text{Assets} - \text{Liabilities} = \text{Owner's equity}$



Slide 55

Slide No	Trainer Notes
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55.

Trainer: Transactions are classified so that they can be reported appropriately. An exercise follows on the next slide.

Slide

Checking transactions

Correctly identify the following items for the business:

Food sales	Electricity usage
Advertising	Insurance
Cash at bank	Laundry
Rent	Ticket sales
Room sales	Vehicle repairs
Telephone usage	Equipment
Accounts receivable	Accounts payable
Fuel	Tour sales
Inventory	
Wages	



Slide 56

Slide No	Trainer Notes
56.	Trainer: this activity can be completed individually, in small groups or by the entire class led by the trainer. The next slide provides the solutions. Trainer may like to ask trainees to suggest items for themselves.

Slide

Checking transactions

Correctly identify the following as Revenue or Expense items for the business:

Food sales	<i>Revenue</i>	Electricity usage	<i>Expense</i>
Advertising	<i>Expense</i>	Insurance	<i>Expense</i>
Cash at Bank	<i>Asset</i>	Laundry	<i>Expense</i>
Rent	<i>Expense</i>	Ticket Sales	<i>Revenue</i>
Room Sales	<i>Revenue</i>	Vehicle repairs	<i>Expense</i>
Telephone usage	<i>Expense</i>	Equipment	<i>Asset</i>
Accounts receivable	<i>Asset</i>	Accounts payable	<i>Liability</i>
Fuel	<i>Expense</i>	Tour Sales	<i>Revenue</i>
Inventory	<i>Asset</i>		
Wages	<i>Expense</i>		

Slide 57

Slide No	Trainer Notes
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57.

Trainer: Solutions to the activity on the previous slide.

Slide

Checking transactions

Identifying and valuing transactions:

- Accounting principles and assumptions:
 - Accounting entity
 - Time period assumption
 - Going concern assumption
 - Monetary unit assumption
 - Cost principle
 - Accrual basis – next slide



Slide 58

Slide No	Trainer Notes
58.	Trainees can form groups and provide their own explanations for each accounting principle and assumptions that are shared and used by the class.

Slide

Checking transactions

Identifying and valuing transactions:

- Accrual basis:
 - Matching principle
 - Revenue recognition



Slide 59

Slide No	Trainer Notes
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59.	Continued from previous slide.
-----	--------------------------------

Slide

Checking transactions

Recording transactions:

- Three steps:
 - Analyse transactions for their effect on ledger accounts
 - Enter the transaction into a journal
 - Transfer the journal to a ledger account
- Double entry



Slide 60

Slide No	Trainer Notes
60.	Trainer: The diagram on the next slide explains the debit and credit rules and therefore illustrates double entry. Examples are provided in the training manual.

Slide

Checking transactions

Recording transactions:

- Debits and credits

Account category	Normal balance	Transaction increases balance	Transaction decreases balance
Assets	DEBIT	DEBIT	CREDIT
Liabilities	CREDIT	CREDIT	DEBIT
Owner's equity	CREDIT	CREDIT	DEBIT
Revenue	CREDIT	CREDIT	DEBIT
Expenses	DEBIT	DEBIT	CREDIT

Slide 61

Slide No Trainer Notes

61.

Trainer: Double entry is one of the key principles for entering transactions into the general ledger. Trainers must be sure to make clear to trainees that the words debit and credit have no meaning other than left and right and simply provide an instruction for entering an amount so that the overall account category balance either increases or decreases.

Slide

Checking transactions

Recording transactions:

- Journals:
 - Book where all transactions are recorded
- General journal
- Special journals:
 - Cash receipts and cash payments
 - Sales and purchases



Slide 62

Slide No

Trainer Notes

62.

Trainer: Journals are used in a manual accounting system to record the details of all transactions from source documents. A computerised system may not necessarily display journals in this manner. Examples of cash journals follow.

Slide

Checking transactions

Recording transactions:

CASH RECEIPTS JOURNAL

Cash sales	A/R	Capital	Furniture	Loans received	Sale of oven	Bank
37,110	20,990	10,000	575	11,500	1,725	81,900

CASH PAYMENT JOURNAL

Purchases	Wages	Rent	Advertising	A/P	Interest expense	Fitting & fixtures
14,545	15,290	2,820	1,425	12,485	900	1,570

Insurance expense	Loan repaid	Owner's drawings	Purchase: new over	Bank
635	4,000	2,650	2,230	58,550

Slide 63

Slide No Trainer Notes

63. Continued from previous slide.

Slide

Checking transactions

Checking transactions:

- Accuracy:
 - Source documents and journal details
 - Totals calculated correctly
 - Totals posted to the ledger
 - General journal
- Completeness:
 - Cash receipts and cash payments
 - Sales and purchases



Slide 64

Slide No

Trainer Notes

64.

Trainers refer to personal experience and experience from the trainees to describe the process of checking transactions for accuracy and completeness. Refer back to managers responsibilities with regard to accounting information and how this process fulfils that responsibility.

Slide

Checking transactions

Checking transactions:

- Completeness
 - What does this mean?
 - Internal controls
 - Adjusting entries (more detail later!)



Slide 65

Slide No	Trainer Notes
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65.	Continued from previous slide.
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Slide

Balancing transactions

The Trial balance:

- Debits = Credits
- Format
- Timing

Example company trial balance end of the month		
Trial balance		
Account name	Debit	Credit
Cash at bank	24,800	
Accounts receivable	2,950	
Prepaid rent	3,000	
Furniture	16,500	
Accounts payable		13,100
Capital		31,250
Drawings	3,200	
Revenue		7,450
Salary expense	950	
Electricity & gas	400	
	51,800	51,800

Slide 66

Slide No Trainer Notes

66.

Trainer: Provide the trial balance that was used to create the financial statements that were analysed earlier if possible otherwise source a relevant, local example.

Slide

Balancing transactions

The trial balance:

- Correcting errors:
 - Debits = Credits
 - Posting errors
 - Missing transactions
- Checklist activity



Slide 67

Slide No	Trainer Notes
67.	Continued from previous slide. Trainees to write up a checklist for preparing an accurate trial balance.

Slide

Balancing transactions

Adjusting entries:

- What are they?
- Alternative terms:
 - Balance day adjustments
 - Accruals and prepayments
- Timing



Slide 68

Slide No

Trainer Notes

68.

Trainer: Each of the adjusting entries that are common to hospitality and tourism organisations will be reviewed in the next series of slides. Details are provided in the training manual.

Slide

Balancing transactions

The trial balance worksheet

Trial Balance Worksheet						
Account	Debit	Credit	Debit	Credit	Debit	Credit
Cash at Bank	26,011					
Accounts Receivable	11,000					
Prepayments						
Stock	35,300					
Furniture	25,000.00					
Accumulated Depreciation-Furniture						
Equipment	40,000.00					
Accumulated Depreciation-Equipment						
Accounts Payable		25,850.00				
Unearned Revenue						
Accrued Expenses						
Interest payable						
GST Collected						
GST Paid						
Bank Loan		25,000.00				
Capital		60,000.00				
Drawings	8,000.00					
Cash Sales		48,620.00				
Credit Sales		11,000.00				
Purchases						
Wages	17,620.00					
Wages on costs	3,524.00					
Rent	1,815.00					
Insurance	1,650.00					
Utilities						
Mobile phone						
Office Supplies	550.00					
Depreciation-Furniture						
Depreciation-Equipment						
Interest expense						
Closing Stock	15,000					

Slide 69

Slide No Trainer Notes

- | | |
|-----|---|
| 69. | Trainers can demonstrate where the draft, adjustments and final entries are entered when a worksheet is used. |
|-----|---|

Slide

Balancing transactions

Adjusting entries:

- Unearned revenue

General Journal			
Date	Sales	450.00	
	Prepaid Revenue		450.00
	Deposit received for function		

Slide 70

Slide No	Trainer Notes
----------	---------------

70.

Trainers refer to training manual for more information.

Slide

Balancing transactions

Adjusting entries:

- Prepayments

General Journal			
DATE	Rent expense	1,000.00	
	Prepaid Rent		1,000.00
	(1 months Rent)		

Slide 71

Slide No	Trainer Notes
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71.

Trainers refer to training manual for more information.

Slide

Balancing transactions

Adjusting entries:

- Accrued expenses

General Journal			
DATE	Wages	150.00	
	Payroll payable		150.00
	Outstanding wages		

Slide 72

Slide No	Trainer Notes
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72.

Trainers refer to training manual for more information.

Slide

Balancing transactions

Adjusting entries

● Depreciation

General Journal			
DATE	Depreciation expense-Furniture	780.00	
	Accumulated depreciation-Furniture		780.00
	Depreciation for one month		

Slide 73

Slide No	Trainer Notes
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73.

Trainers refer to training manual for more information.

Slide

Check balances prepared by others

Checking balances:

- Special journals:
 - Separate recording responsibilities
 - Review journal balances
 - Post to the ledger



Slide 74

Slide No	Trainer Notes
74.	Trainer: the processes that enable the efficient input and processing of transactions also provide an inbuilt check on balances prepared by others as duties are usually separated as required by internal controls.

Slide

Check balances prepared by others

Checking balances:

- Subsidiary ledgers:
 - What is a subsidiary ledger?
 - Why are they used?
 - What is a control account?
 - Common examples



Slide 75

Slide No	Trainer Notes
75.	Trainees should be aware of subsidiary ledgers used in the tourism and hospitality industry and that the details of transactions are not recorded in control accounts. The reconciliation between the two recording documents provides the checks on balances.

Slide

Check balances prepared by others

Checking balances:

- Reconciling the subsidiary ledgers:
 - What is a reconciliation?
 - Reconciliation report or document
 - Timing
 - Investigate and resolve differences



Slide 76

Slide No	Trainer Notes
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76.	Trainers work through the process of a reconciliation. Usually reconciliations are recorded on standard documents and reviewed, provided further checks on balances prepared by others. Each subsidiary ledger is reviewed in the next slides.
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Slide

Check balances prepared by others

Checking balances:

- Accounts receivable subsidiary ledger:
 - Sales and Cash receipts journal
 - Monitor debtor accounts



Slide 77

Slide No	Trainer Notes
77.	Continued from previous slide.

Slide

Check balances prepared by others

Checking balances:

- Accounts payable subsidiary ledger:
 - Purchases and cash payments journal
 - Monitor cash flow



Slide 78

Slide No	Trainer Notes
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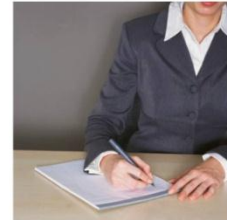
78.	Continued from previous slide.
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Slide

Check balances prepared by others

Checking balances:

- Inventory subsidiary ledger:
 - Purchases and cash payments journal
 - Stocktake or stock counts
 - Independent verification of balances



Slide 79

Slide No	Trainer Notes
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79.

Continued from previous slide.

Slide

Check balances prepared by others

Checking balances:

- Fixed assets register:
 - Purchases and cash payments journal
 - Stocktake or stock counts
 - Independent verification of balances



Slide 80

Slide No

Trainer Notes

80.

Continued from previous slide.

Slide

Check balances prepared by others

The bank reconciliation:

- General ledger bank account:
 - Updated from cash journals and general journal
 - Increases – debit, decreases – credit
- The bank statement:
 - Deposits and withdrawals
 - CAUTION – debits and credits



Slide 81

Slide No	Trainer Notes
81.	It is important that trainees understand the definition of cash as encompassing all forms of payment received from customers, guests and other third parties and made to suppliers, staff and other parties. Internal controls safeguarding cash must be strict, especially in the tourism and hospitality industry as there are often large volumes of cash across multiple locations. Trainers may wish to draw upon the experiences of the group for local relevant examples or provide their own. Trainer: Discuss the detail included in the general ledger bank account and the bank account as well as the source of the information. Reiterate what debit and credit entries represent.

Slide

Check balances prepared by others

The bank reconciliation:

- Differences:
 - Timing
 - Errors
 - Dishonoured payment
 - Other



Slide 82

Slide No	Trainer Notes
82.	Trainer: The bank reconciliation is the means by which the general ledger account balance and the bank account balance are verified. Trainees may be able to draw on their own experiences for recognising some of the differences.

Slide

Check balances prepared by others

The Bank reconciliation:

● Preparation:

- 1) Gather information
- 2) Enter balances into the bank reconciliation statement
- 3) Check previous outstanding items are recorded
- 4) Add or subtract from bank balance items in ledger account
- 5) Adjust the ledger account
- 6) Check that the bank balance and ledger account agree
- 7) Complete the bank reconciliation statement

Slide 83

Slide No	Trainer Notes
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83.	Trainer: refer to the training manual for detail.
-----	---

Slide

Check balances prepared by others

Bank reconciliation statement as at Day, Month, Year			
Balance as per bank statement	\$	\$	
Add: Outstanding deposit		XX	CR
Deposit 1	XX		
Deposit 2	XX	XX	
Less: Unpresented cheques			
Cheque 1	XX		
Cheque 2	XX	XX	
Balance as per cash at bank account		<u>XX</u>	DR

Slide 84

Slide No

Trainer Notes

84.

Trainers can use this diagram to discuss the elements of the bank statement from the notes provided in the training manual. The following slide summarises the key points.

Slide

Check balances prepared by others

Produce the bank reconciliation statement:

- Key points:

- Heading
- Reporting period
- Debits and credits
- Begin with bank statement
- End with a total that agrees to the General ledger account
- Distribution, review and filing procedures



Slide 85

Slide No	Trainer Notes
85.	Continued from previous slide. Examples of missing entries can be taken from training manual.

Slide

Resolving errors in the financial system

Checklist for resolving errors:

- Inputs:
 - Examples
- Processing:
 - Examples
- Outputs:
 - Examples

Slide 86

Slide No

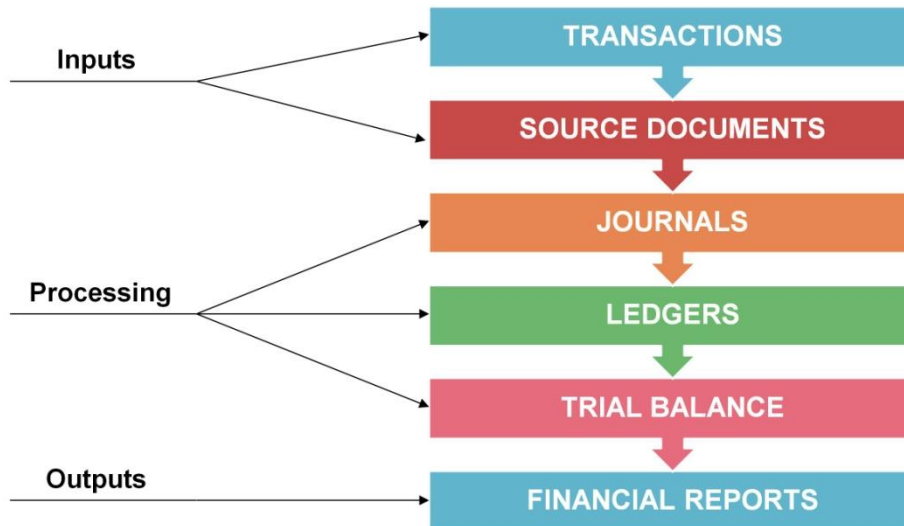
Trainer Notes

86.

Trainers: Errors and discrepancies have been discussed throughout the slides so far. This is a review or reminder of what to do when an error is found.

Slide

Maintaining the financial system



Slide 87

Slide No	Trainer Notes
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87.

Trainer: The focus for the next series of slides is the outputs phase of the accounting system.

Slide

Providing financial information

- How is financial information provided?
 - Reports
- Why is financial information needed?
 - Control
 - Monitor
 - Evaluate



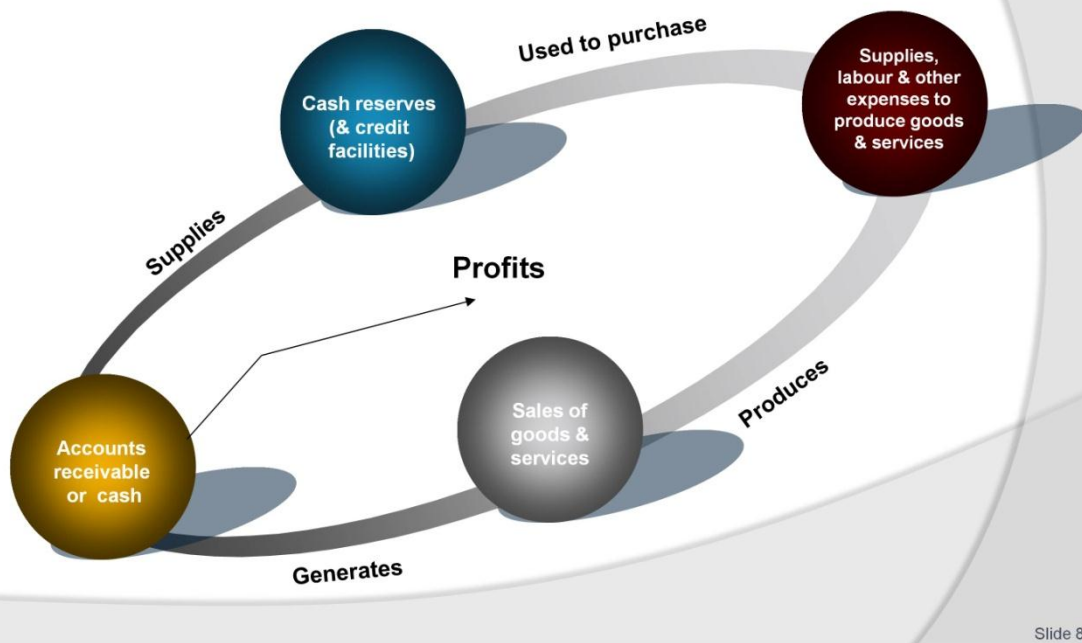
Slide 88

Slide No	Trainer Notes
88.	Trainers focus on the need for management to gather information that allows them to control, monitor and evaluate operations. Operations are considered in terms of two related cycles, the business cycle and the revenue cycle. This is detailed on the next two slides. Reports are discussed in terms of the cycle of operations.

Slide

Providing financial information

Hospitality and tourism business cycle



Slide 89

Slide No	Trainer Notes
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89.

Continued from previous slide.

Slide

Providing financial information

- Sales or revenue cycle:
 - Daily operating cycle
 - Weekly operating cycle
 - Seasonal cycle
 - Economic cycles



Slide 90

Slide No	Trainer Notes
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90.	Continued from previous slide.
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Slide

Providing financial information

The profit and loss statement:

- Definition and purpose
- Revenue less Expenses = Net Profit or Loss
- Frequency
- Format
- Department or functional area
- Comparative data



Slide 91

Slide No	Trainer Notes
91.	Trainers: Note that the rest of the slides provide examples of the different reports that are produced in hospitality and tourism establishments. Report formats, frequency and the nature of information is unique to each type of business, the region and management requirements. Therefore trainers must be prepared to source relevant, local examples so trainees are aware of the format used in their local areas. All report data is sourced from ledger accounts.

Slide

Providing financial information

Preparing the profit and loss statement:

- Headings
- Sales accounts
- Cost of sales or
Cost of goods sold:
- Gross profit
- Other expenses

Your place profit and loss statement for period ending Day, Month, Year			
Cash sales	48,620.00		
Credit sales	11,000.00		
		Total sales	59,620.00
Less COGS			
Opening stock	10,000.00		
Purchases	25,300.00		
End stock	(15,000.00)		
		Total cost of goods sold	20,300.00
		Gross profit	39,320.00
Operating expenses	17,620.00		
Wages	3,524.00		
Rent	1,815.00		
Insurance	1,650.00		
Office supplies	550.00		
		Total operating expenses	25,159.00
		Net profit	14,161.00

Slide 92

Slide No

Trainer Notes

92.

Continued from previous slide.

Slide

Providing financial information

The Balance sheet:

- Definition and purpose
- The Accounting equation

$$\text{Assets} - \text{Liabilities} = \text{Equity}$$

- Frequency and format
- Headings
- Comparative data



Slide 93

Slide No	Trainer Notes
93.	Trainers refer to the training manual for details on preparing the balance sheet and are encouraged to use relevant local examples.

Slide

Providing financial information

The Balance sheet:

- Assets and liabilities:
 - Current
 - Non-current
- Equity:
 - Capital
 - Retained earnings

Your Place Balance Sheet as at Day, Month, Year	
Assets	
Current Assets	
Bank	64,203
Accounts Receivable	11,000
Inventory	15,000
Total Current Assets	90,203
Non Current Assets	
Equipment	52,000
Accumulated depreciation-Equipment	(16,000)
Furniture	25,000
Accumulated depreciation-Furniture	(4,000)
Total Non Current Assets	57,000
Total Assets	147,203
Liabilities	
Current Liabilities	
Unearned Revenue	500
Accounts Payable	25,850
Taxes	3,706
Unearned Revenue	
Total Current Liabilities	30,056
Non Current Liabilities	
Loan	25,000
Total Non Current Liabilities	25,000
Total Liabilities	55,056
NET ASSETS	92,147
Equity	
Capital	76,000
Retained Earnings	16,147
Total Equity	92,147

Slide 94

Slide No

Trainer Notes

94.

Continued from previous slide.

Slide

Providing financial information

The cash flow statement:

- Purpose
- Frequency
- Format
- Nature of the financial information:
 - Cash inflows
 - Cash outflows
 - Cash budget
 - Bank balance



Slide 95

Slide No	Trainer Notes
95.	Trainers refer to the training manual for details and the following slide for a sample cash flow statement. Trainers are encouraged to use relevant local examples.

Slide

Providing financial information

The cash flow statement

Cash flows from Operating activities	\$m.
Cash receipts from customers	\$ 515
Cash paid to suppliers and employees	-\$ 304
Interest paid	-\$ 19
Income taxes	-\$ 40
Net cash provided by Operating activities	\$ 152
Cash flows from Investing activities	
Interest received	\$ 4
Purchase of property, plant & equipment	-\$ 65
Net cash used in Investing activities	-\$ 61
Cash flows from Financing activities	
Proceeds from issue of share capital	\$ 85
Repayment of long-term borrowings	-\$125
Dividends paid	-\$ 35
Net cash used in Financing activities	-\$ 75
Net increase (decrease) in cash held	\$ 16
Cash balances at beginning of financial year	-\$ 12
Cash balances at end of financial year	\$ 4

Slide 96

Slide No	Trainer Notes
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96.

Trainers refer to the training manual for details and the following slide for a sample revenue report. Trainers are encouraged to use relevant local examples.

Slide

Providing financial information

Expense reports:

- Controllable and non-controllable costs
- Direct and indirect costs
- Fixed and variable costs

Direct and controllable



Slide 97

Slide No	Trainer Notes
----------	---------------

97.	Trainers refer to the training manual for details and local examples.
-----	---

Slide

Providing financial information

Payroll cost report:

- Purpose
- Format and frequency
- Nature of the financial information:
 - Hours worked
 - Rates of pay
 - Total daily, month-to-date
 - Budget
 - Ratios



Slide 98

Slide No

Trainer Notes

98.

Trainers refer to the training manual for details and provide local examples.

Slide

Providing financial information

Other key expense reports:

- Food and beverage costs
- Total room servicing or housekeeping costs
- Nature of the financial information:
 - Details of daily costs (quantities and amounts)
 - Total daily, month-to-date
 - Budget
 - Ratios



Slide 99

Slide No	Trainer Notes
99.	Trainers refer to the training manual for details and the following slide for a sample revenue report. Trainers are encouraged to use relevant local examples.

Slide

Providing financial information

Purchase order summary:

- Purpose
- Format and frequency
- Financial information:
 - Quantities ordered
 - Total costs
 - Expected delivery
- Recording as an expense

The image shows a sample purchase order form. It has a header section with checkboxes for 'PURCHASE ORDER' and 'RETURN FORM'. Below this is a table with columns for 'ITEM NO.', 'ITEM DESCRIPTION', 'QUANTITY', 'UNIT', 'PRICE', and 'TOTAL'. The table is currently empty.

Slide 100

Slide No

Trainer Notes

100.

Trainers refer to the training manual for details and provide local examples.

Slide

Providing financial information

The revenue report:

- Purpose
- Frequency
- Format
- Nature of the financial information:
 - Sales
 - Budget or forecast
 - Prior periods
 - Ratios



Slide 101

Slide No	Trainer Notes
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101.	Trainers refer to the training manual for details and the following slide for a sample revenue report. Trainers are encouraged to use relevant local examples.
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Slide

Providing financial information

The revenue report (an example)

	Actual revenue (today)	Budget revenue (today)	Last year (same day)	Ratio
Total rooms available				
Number of rooms sold in total				
Room sold – Leisure				
Room sold – Walk ins				
Average room rate – Leisure				
Average room rate – Walk ins				
Arrivals				
Departures				

Slide 102

Slide No	Trainer Notes
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102.

Continued from previous slide.

Slide

Providing financial information

Other schedules:

- Food and beverage menu schedule:
 - All menu items
 - Profitability and popularity
 - Standard food and beverage cost percentages for each menu item



Slide 103

Slide No	Trainer Notes
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103.	Trainers refer to the training manual for details and the following slide for a sample revenue report. Trainers are encouraged to use relevant local examples.
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Slide

Providing financial information

Cash and accounts receivable:

- Daily takings report:
 - High volume of cash transactions
 - Completed at point of sale terminal
 - Entered into cash receipts journal



Slide 104

Slide No	Trainer Notes
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104.	Trainers refer to the training manual for details and provide local examples.
------	---

Slide

Providing financial information

Cash and accounts receivable:

- Daily cash received report:
 - Amounts received from debtors
 - Accounts receivable subsidiary ledger updated
 - Cash receipts journal updated
 - BEWARE separation of duties!



Slide 105

Slide No	Trainer Notes
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105.	Trainers refer to the training manual for details and provide local examples.
------	---

Slide

Providing financial information

Cash and accounts receivable

Accounts receivable ageing schedule

Number of days due	Current	Less than 30	30 – 60	60 – 90	90+	Total
Accounts receivable	4,900	490	1,400	140	70	7,000
Percentage	70%	7%	20%	2%	1%	

Slide 106

Slide No

Trainer Notes

106.

Trainers refer to the training manual for details and the following slide for a sample revenue report. Trainers are encouraged to use relevant local examples.

Slide

Providing financial information

- Distribution of financial statements:
 - Confidentiality
 - Adhere to reporting deadlines
 - Schedule to follow
 - Secure passwords



Slide 107

Slide No	Trainer Notes
107.	Trainers guide trainees through the steps to distribute financial statements which are mostly administrative tasks. At all times, financial statements should be treated securely and confidentiality maintained.

Recommended training equipment

- Whiteboard or similar display tool
- Internet access if possible
- Calculator,
- Pens
- Paper.

Instructions for Trainers for using PowerPoint – Presenter View

Connect your laptop or computer to your projector equipment as per manufacturers' instructions.

In PowerPoint, on the **Slide Show** menu, click **Set Up Show**.

Under Multiple monitors, select the Show Presenter View check box.

In the **Display slide show** on list, click the monitor you want the slide show presentation to appear on.

Source: <http://office.microsoft.com>

Note:

In Presenter View:

You see your notes and have full control of the presentation

Your trainees only see the slide projected on to the screen

More Information

You can obtain more information on how to use PowerPoint from the Microsoft Online Help Centre, available at:

<http://office.microsoft.com/training/training.aspx?AssetID=RC011298761033>

Note Regarding Currency of URLs

Please note that where references have been made to URLs in these training resources trainers will need to verify that the resource or document referred to is still current on the internet. Trainers should endeavour, where possible, to source similar alternative examples of material where it is found that either the website or the document in question is no longer available online.

Appendix – ASEAN acronyms

AADCP	ASEAN – Australia Development Cooperation Program.
ACCSTP	ASEAN Common Competency Standards for Tourism Professionals.
AEC	ASEAN Economic Community.
AMS	ASEAN Member States.
ASEAN	Association of Southeast Asian Nations.
ASEC	ASEAN Secretariat.
ATM	ASEAN Tourism Ministers.
ATPMC	ASEAN Tourism Professionals Monitoring Committee.
ATPRS	ASEAN Tourism Professional Registration System.
ATFTMD	ASEAN Task Force on Tourism Manpower Development.
CATC	Common ASEAN Tourism Curriculum.
MRA	Mutual Recognition Arrangement.
MTCO	Mekong Tourism Coordinating office.
NTO	National Tourism Organisation.
NTPB	National Tourism Professional Board.
RQFSRS	Regional Qualifications Framework and Skills Recognition System.
TPCB	Tourism Professional Certification Board.

